Coforge Ltd – BUY

05 March 2025

Company update

IIFL CAPITAL

Catapulting to the top of growth leaderboard!

Coforge (COFO) has made a series of announcements which includes acquisitions of Rythmos and TMLabs, a 1:5 stock split, and most importantly, a 13-year, USD1.56bn TCV new deal win from Sabre. This is potentially the largest deal ever won by any mid cap IT company, and could contribute ~7% or ~USD100mn to COFO's annual revenues. Rythmos' acquisition will strengthen expertise in the airline industry with capabilities in cloud, AI/ML, and big data. TMLabs will enhance its ServiceNow implementation capabilities, especially in Australia and healthcare. With the Sabre deal, we now estimate COFO to deliver sector leading 21.4% cc organic revenue growth in FY26ii and overall 23%/39% USD revenue/EPS Cagr over FY25ii-27ii. Our 12-month TP of Rs10,500 is pegged at 40x 2YF EPS. We reiterate BUY and see COFO as one of the top quartile growth stocks in our coverage, with sustained growth momentum.

Largest ever deal win of USD1.56bn: COFO has signed a 13-year deal with Sabre for USD1.56bn to accelerate product delivery and launch AI solutions for Sabre. It is potentially the largest deal ever won by a mid cap IT company. COFO has potentially taken share from other vendors, will drive product engineering and save costs for Sabre through offshoring. The deal ramp up may start this month and will add ~7% to annual revenues.

Acquisitions to add capabilities: COFO announced the acquisition of Rythmos for USD48.7mn (USD30mn upfront + USD18.7mn earnouts). Rythmos specializes in cloud, big data, AI/ML, UX design and quality assurance services in airlines industry and had USD25.3mn revenues in CY24 (~2% of COFO). TMLabs is acquired for USD12.6mn (upfront) + earnouts, earns USD6.9mn revenues (FY24 June-end) and will enhance its ServiceNow implementation capabilities in healthcare vertical in Australia.

Growth leadership assured, concerns on Sabre overblown: COFO is trading at 36x/30x FY26ii/FY27ii P/E, at a 25% premium to mid-cap peer average, which we believe is justified given the growth leadership ahead. Some concerns on Sabre's financial health and ability to pay for this new collaboration are overblown, in our view, as it forms part of a cost saving initiative that Sabre is undergoing for past two years. Despite high net debt, there are no material repayments for two years and they have guided for USD100mn cost savings and USD200mn FCF in 2025. Key risk: M&A.

Company update

CMP	**Rs7814**
12-mth TP (Rs)	**10500 (34%)**
Market cap (US$m)	**5,444**
Enterprise value(US$m)	**5,523**
Bloomberg	**COFORGE IN**
Sector	**IT**

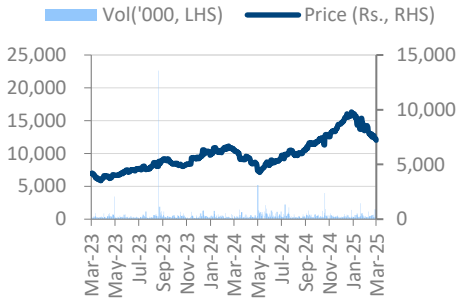
Shareholding pattern (%)

Promoter	0.0
Pledged (as % of promoter share)	0.0
FII	42.6
DII	47.9
52Wk High/Low (Rs)	9797/4251
Shares o/s (m)	67
Del Value 3mth avg (US$ m)	27.4
Dividend yield FY26ii (%)	1.0
Free float (%)	100.0

Price performance (%)

	1M	3M	1Y
Absolute (Rs)	(8.1)	(11.2)	33.9
Absolute (US$)	(7.5)	(13.5)	27.6
Relative Perf.	0.3	6.1	34.6
Cagr (%)		**3 yrs**	**5 yrs**
EPS (Rs)		20.1	15.3

Stock performance



Financial summary (Rs m)

Y/e 31 Mar, Consolidated	FY23A	FY24A	FY25ii	FY26ii	FY27ii
Revenues (Rs m)	80,146	91,790	123,059	162,537	191,007
Ebitda margins (%)	*17.5*	*16.4*	*16.0*	*16.9*	*17.1*
Pre-exceptional PAT (Rs m)	8,117	8,342	9,678	15,998	19,363
Reported PAT (Rs m)	6,938	8,081	8,192	15,998	19,363
Pre-exceptional EPS (Rs)	130.7	133.7	136.1	217.3	263.0
Growth (%)	*22.5*	*2.3*	*1.8*	*59.7*	*21*
IIFL vs consensus (%)			*(2.7)*	*3.6*	*2.3*
PER (x)	**59.8**	**58.4**	**57.4**	**36.0**	**29.7**
ROE (%)	*27.9*	*24.9*	*20.1*	*15.8*	*13.0*
Net debt/equity (x)	(0.1)	0.0	(0.2)	(0.1)	(0.1)
EV/Ebitda (x)	33.7	31.9	27.5	20.4	16.9
Price/book (x)	15.5	13.2	9.2	4.0	3.7
OCF/Ebitda (x)	0.8	0.4	0.3	0.7	0.7

Source: Company, IIFL Research. Priced as on 05 March 2025

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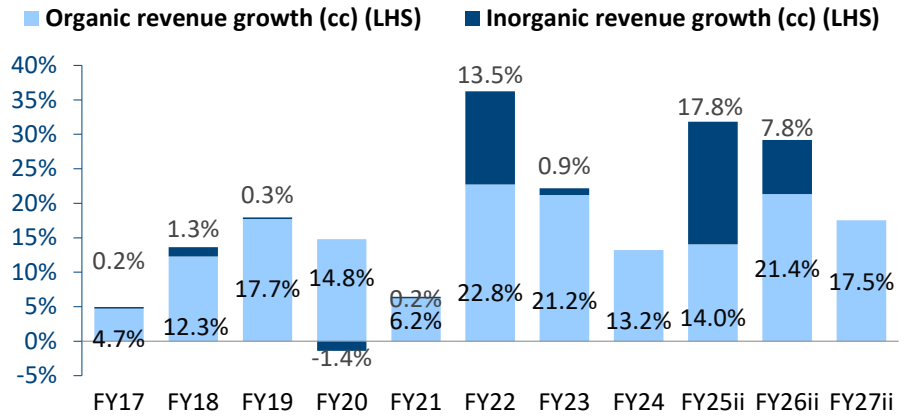
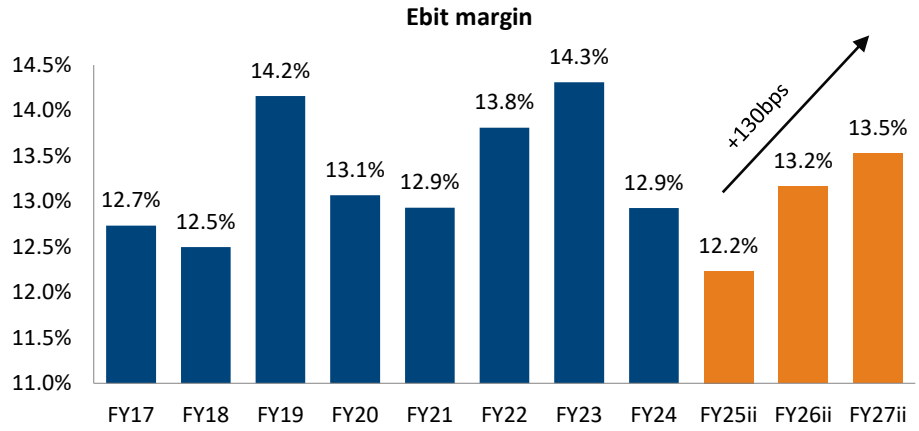
Strong execution justifies premium valuations

Figure 1:We expect USD revenue Cagr of ~23% for COFO over FY25ii-27ii and revenues to cross USD2bn by FY27ii now



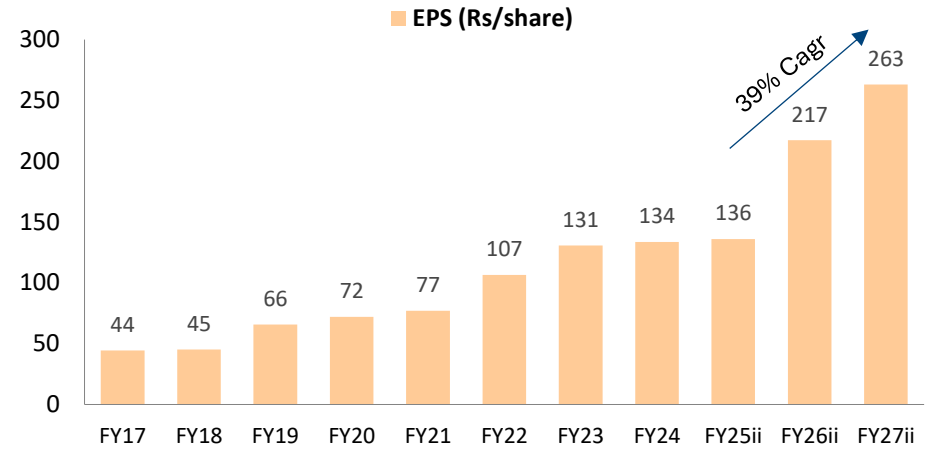
Source: Company, IIFL Research

Figure 2: We forecast a 130bps margin expansion for COFO over FY25ii-27ii, driven by lower ESOPs, higher gross margins and efficiency benefits from Cigniti merger



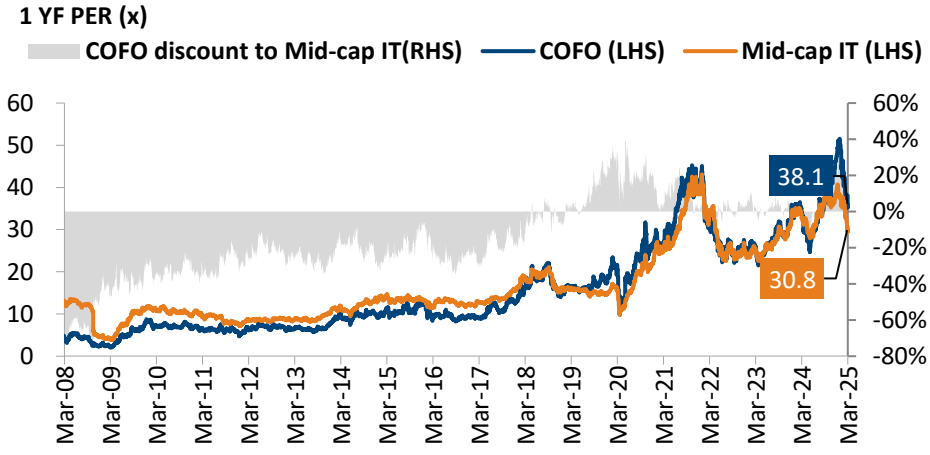
Source: Company, IIFL Research

Figure 3: A combination of strong revenue growth and margin expansion would yield 39% EPS Cagr over FY25ii-27ii



Source: Company, IIFL Research

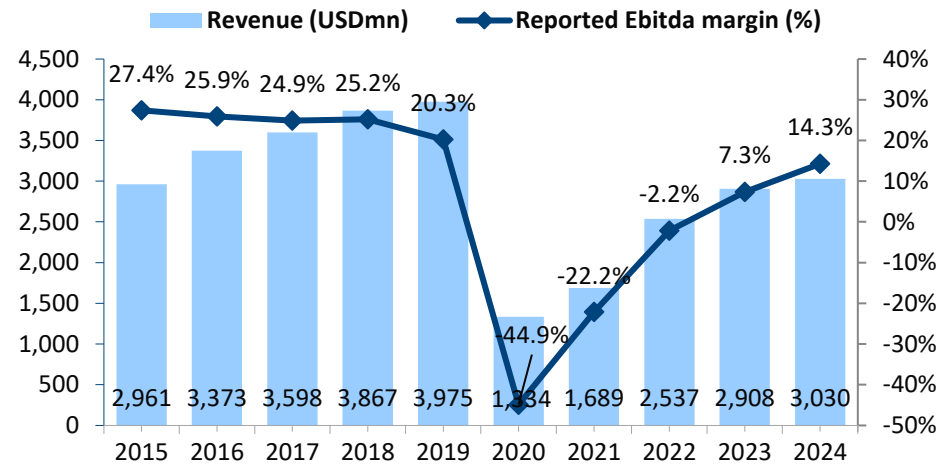
Figure 4: COFO is currently trading at 25% premium to mid-cap peers on 1YF P/E basis; we expect the premium to sustain, given the significant growth differential vs. peers



Source: Bloomberg, IIFL Research

Sabre: Concerns overblown

Figure 5: Adjusted Ebitda margins for Sabre dipped during the pandemic, and since then, have recovered to double digit levels



Source: Bloomberg, IIFL Research

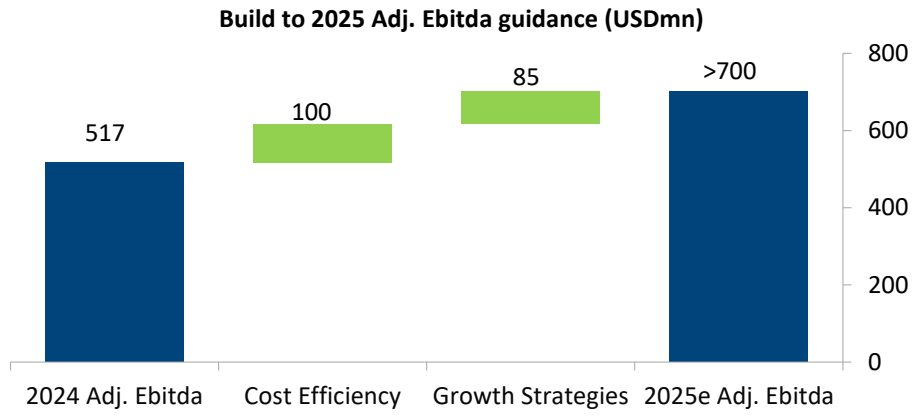
Figure 6: Sabre expects a high single digit yoy growth in revenues during FY25, with an Adjusted Ebitda aspiration of USD700mn

Financial metric	FY25 Outlook
Revenue	High-single digit yoy growth
Adjusted Ebitda	> USD700mn
CAPEX	~USD85mn
Cash Interest	~USD375mn
Free Cash Flow	> USD200mn

Source: Company, IIFL Research

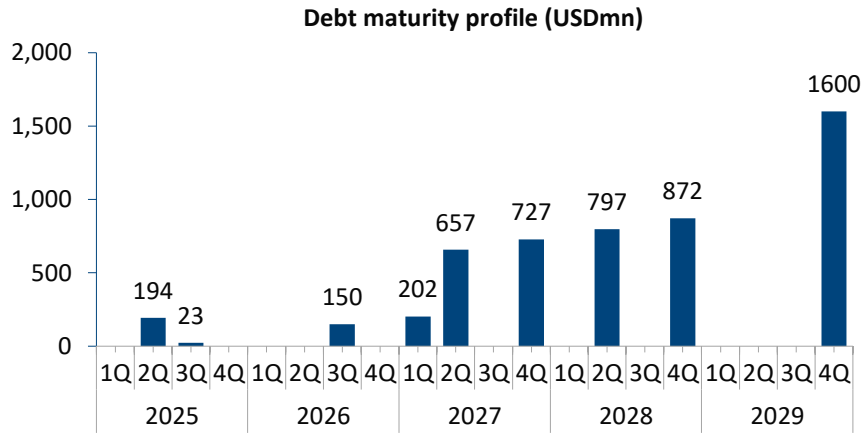
Note: Adjusted Ebitda is Ebitda adjusted for impairment and related charges, restructuring costs, loss on extinguishment of debt, acquisition related costs, litigation costs, costs pertaining to indirect tax matters and stock based compensation.

Figure 7: Cost efficiency and growth strategies are expected to be the two key levers for expansion of Adjusted Ebitda to >USD700mn for Sabre in 2025



Source: Company, IIFL Research

Figure 8: Sabre's next large debt maturity will not become due until June 2027



Source: Company, IIFL Research

Rythmos – Data and Airlines

Rythmos empowers businesses with cloud, big data, AI/ML, UX design, and quality assurance services and has strong industry knowledge in the airlines industry. It has 18+ years of experience and has a record of 100% on time delivery and 100% positive customer referrals. The acquisition has been made for a consideration of USD48.7mn (USD30mn upfront + USD18.7mn earnouts), and is expected to be completed by March 31, 2025. During CY22, CY23 and CY24, Rythmos recorded revenues of USD22.6mn, USD24.4mn and USD25.3mn respectively.

Figure 9: Services offered by Rythmos

Services offered	Work
Big Data and Cloud Engineering	Data Lake & Data Warehouse Development
	Cloud Migration Services
	Big Data Analytics & Intelligence
	Managed Cloud Services
	Data Security & Compliance
Enterprise AI (AI/ML, Gen AI)	AI & ML Consulting and strategy
	Custom AI & ML model development
	Generative AI solutions
	AI integration and deployment
Experience Engineering (UI/UX)	User research & Experience strategy management
	UI/UX design & prototyping
	User Interface development
	Usability testing and optimization
Application management	Application monitoring & performance mgmt
	Application maintenance & support
	Application security management
	Application modernization & optimization
Quality assurance	Functional testing management
	Performance testing
	Security testing
	Test automation services
Marketing & Loyalty Implementation	Salesforce implementation and customization
	ReactorCX integration and support
	Adobe experience cloud setup and optimization

Source: Company, IIFL Research

Figure 10:Key clients across industries of Rythmos

Industry	Clients
Travel and Hospitality	Latam Airlines, Southwest Airlines, Seabourn, Alaska Airlines
Retail	SuperValu, Starbucks, Century 21 NYC
Healthcare	Jenny Craig
Gaming	Unity
Others	Masergy (Comcast Business)

Source: Company, IIFL Research

TMLabs – ServiceNow and Healthcare

TMLabs is an independent cloud software consultancy located in Australia that focuses on ServiceNow Architecture, Implementations, and Managed Services. The company was founded in 2018 by former ServiceNow employees. The acquisition has been made for a consideration of AUD20.0mn (upfront) + earnouts, and is expected to be completed by March 31, 2025. During FY22, FY23 and FY24 (ending June), TMLabs recorded revenues of AUD7.0mn, AUD10.6mn and AUD11.0mn respectively.

Figure 11:Key capabilities of TMLabs

Key capabilities	
Integrated Risk Management & Cyber Security	Protected Platform
Customer Service Management	RapidOps
IT Service Management & Integrations	IT Asset Management
Smart Operations (ITOM)	Workplace Health & Safety
HR Service Delivery	Strategic Portfolio Management
User Experience & Interaction Design	Architecture Advisory
Operational Excellence	
Healthcare	

Source: Company, IIFL Research

Figure 12:List of acquisitions made by COFO

Date	Acquiree	About the company	EV (USDmn)	Revenues (USDmn)	EBITDA margins	Employees	EV/Sales (x)	EV/Ebitda (x)	Rev/Employee (USD)	Upfront payment (USDmn)	Earnouts (USDmn)
May-15	Incessant	Global BPM specialist with focus on automation and helping clients integrate back-end systems with a digital front end	39.7	17.0	30.0%	300	2.3	7.8	56,667		
May-17	RuleTek	RuleTek is a BPM architecture services company specializing in providing architectural leadership to Pega BPM projects.	16.9	6.5	NA	65	2.6	NA	99,538		
Apr-19	Whishworks IT Consulting	Whishworks is an IT services company and consulting company specializing in MuleSoft & Big Data technologies.	41.0	14.2	19.0%	250	2.9	15.2	56,629	21.6	NA
Apr-21	SLK Global Solutions Pvt Ltd	Company is a business process transformation enterprise, offering BPM and digital solutions for the financial services industry. It has deep domain expertise in the banking and insurance segments in North America	125.5	68.2	NA	7,000	1.8	NA	9,740	125.5	NA
Apr-24	Cigniti Technologies Ltd	Cigniti is primarily engaged in the business of Quality and Digital engineering services across USA, UK, Australia, Canada, Czech Repulic, South Africa and Singapore with delivery centre in India	250.0	219.0	12.2%	4,206	1.1	9.4	52,068	250.0	NA
Jul-24	OptML Inc (Assets)	OptML Inc is primarily engaged in the business of providing advisory technical design system integration and testing services for Pega systems in USA.	6.6	10.8	NA	NA	0.6	NA	NA	6.6	NQ
Jan-25	Xceltrait Inc	Xceltrait is a specialist in the implementation of ServiceNow's Financial Services Operations and Customer Service Management modules and brings deep expertise in the P&C insurance industry.	17.9	5.8	NA	NA	3.1	NA	NA	7.0	10.9
Mar-25	Rythmos Inc	Rythmos is engaged in the business of IT/ITes industry and provides cutting edge services with Data and Cloud.	48.7	25.3	NA	NA	1.9	NA	NA	30.0	18.7
Mar-25	TMLabs Pty Ltd	TMLabs provides implementation services related to the 'ServiceNow' platform.	12.6	6.9	NA	NA	1.8	NA	NA	12.6	NQ

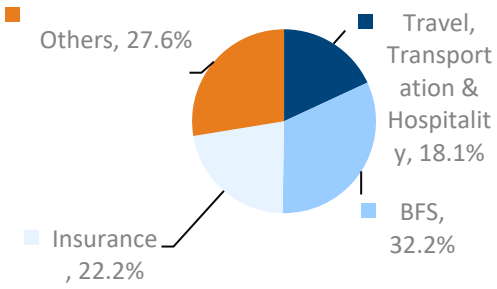
Source: Company, IIFL Research; NQ – Not quantifiable

Background: Coforge (erstwhile NIIT Technologies) was started in 1984 and in 2004-05, split out of its parent company. With a focus on digital integration backed by deep domain capabilities, Coforge focusses on four verticals: Insurance (22% of revenue), Travel & Transportation (18% of revenue), Banking and Financial Services (32% of revenue) and Others (consisting of retail, healthcare and manufacturing – 28% of revenue). It derives 48% of its revenues from the Americas, 39% from EMEA and 12% from the Rest of the World. Rebranded as Coforge in 2020, the company had ~24,700 employees and generated revenue of USD1,112m in FY24, with EBIT margin of 12.9%.

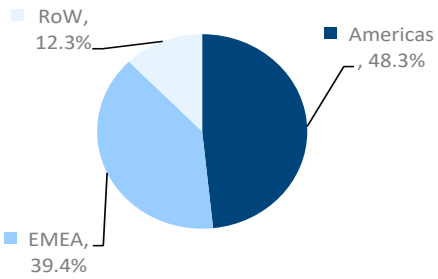
Management

Name	Designation
Sudhir Singh	CEO & Executive Director
Saurabh Goel	CFO
John Speight	Customer Success Officer

Revenue by verticals - FY24



Revenues by geog. - FY24



Assumptions

Y/e 31 Mar, Consolidated	FY23A	FY24A	FY25ii	FY26ii	FY27ii
USD/INR	80.0	82.1	84.4	86.0	86.0
Revenue growth (USD YoY %)	15.6	11.7	31.2	28.8	17.5
Direct cost as % of revenue	68.2	68.6	68.6	67.7	67.6
SG&A as % of revenue	14.3	15.0	15.4	15.4	15.3
PBT margin (%)	12.1	11.4	10.5	13.4	13.8
Tax rate (%)	22.9	20.0	26.3	25.0	25.0

Source: Company data, IIFL Research

PE Chart

EV/Ebitda

Financial summary

Income statement summary (Rs m)

Y/e 31 Mar, Consolidated	FY23A	FY24A	FY25ii	FY26ii	FY27ii
Revenues	**80,146**	**91,790**	**123,059**	**162,537**	**191,007**
Ebitda	14,053	15,053	19,684	27,524	32,668
Depreciation and amortisation	(2,585)	(3,186)	(4,629)	(6,125)	(6,833)
Ebit	11,468	11,867	15,055	21,399	25,835
Non-operating income	4	30	0	0	0
Financial expense	(634)	(1,186)	(670)	439	592
PBT	10,838	10,711	14,385	21,838	26,427
Exceptionals	(1,179)	(261)	(1,486)	0	0
Reported PBT	9,659	10,450	12,899	21,838	26,427
Tax expense	(2,208)	(2,093)	(3,398)	(5,460)	(6,607)
PAT	7,451	8,357	9,501	16,379	19,820
Minorities, Associates etc.	(513)	(276)	(1,309)	(381)	(457)
Attributable PAT	**6,938**	**8,081**	**8,192**	**15,998**	**19,363**

Ratio analysis

Y/e 31 Mar, Consolidated	FY23A	FY24A	FY25ii	FY26ii	FY27ii
Per share data (Rs)					
Pre-exceptional EPS	130.7	133.7	136.1	217.3	263.0
DPS	64.0	76.0	75.8	76.6	92.7
BVPS	505.4	591.2	852.6	1945.5	2117.7
Growth ratios (%)					
Revenues	24.6	14.5	34.1	32.1	17.5
Ebitda	26.0	7.1	30.8	39.8	18.7
EPS	22.5	2.3	1.8	59.7	21.0
Profitability ratios (%)					
Ebitda margin	17.5	16.4	16.0	16.9	17.1
Ebit margin	14.3	12.9	12.2	13.2	13.5
Tax rate	22.9	20.0	26.3	25.0	25.0
Net profit margin	9.3	9.1	7.7	10.1	10.4
Return ratios (%)					
ROE	27.9	24.9	20.1	15.8	13.0
ROIC ex goodwill	0.5	0.4	0.4	0.5	0.5
Solvency ratios (x)					
Net debt-equity	(0.1)	0.0	(0.2)	(0.1)	(0.1)
Net debt to Ebitda	(0.2)	0.1	(0.6)	(0.4)	(0.6)
Interest coverage	18.1	10.0	22.5	(48.7)	(43.7)

Source: Company data, IIFL Research

Balance sheet summary (Rs m)

Y/e 31 Mar, Consolidated	FY23A	FY24A	FY25ii	FY26ii	FY27ii
Cash & cash equivalents	5,787	3,352	10,981	9,862	19,281
Inventories	0	0	0	0	0
Receivables	20,655	23,263	34,052	41,650	47,312
Other current assets	3,470	5,117	6,426	8,488	9,975
Creditors	6,813	8,689	10,338	13,501	15,834
Other current liabilities	14,940	10,753	14,162	18,227	21,376
Net current assets	**8,159**	**12,290**	**26,960**	**28,273**	**39,358**
Fixed assets	6,866	7,629	6,692	5,443	4,341
Intangibles	16,299	16,133	39,810	96,571	96,571
Investments	0	0	0	0	0
Other long-term assets	3,757	5,583	9,064	14,563	17,623
Total net assets	**35,081**	**41,635**	**82,526**	**144,850**	**157,893**
Borrowings	3,382	4,366	0	0	0
Other long-term liabilities	874	1,003	22,369	2,693	3,150
Shareholders equity	**30,825**	**36,266**	**60,158**	**142,157**	**154,743**
Total liabilities	**35,081**	**41,635**	**82,526**	**144,850**	**157,893**

Cash flow summary (Rs m)

Y/e 31 Mar, Consolidated	FY23A	FY24A	FY25ii	FY26ii	FY27ii
Ebit	11,468	11,867	15,055	21,399	25,835
Tax paid	(2,208)	(2,093)	(3,398)	(5,460)	(6,607)
Depreciation and amortization	2,585	3,186	4,629	6,125	6,833
Net working capital change	1,381	(6,566)	(7,041)	(2,431)	(1,667)
Other operating items	(1,688)	(507)	(2,795)	(381)	(457)
Operating cash flow before interest	11,538	5,887	6,450	19,253	23,937
Financial expense	(634)	(1,186)	(670)	439	592
Non-operating income	0	0	0	0	0
Operating cash flow after interest	**10,904**	**4,701**	**5,779**	**19,692**	**24,529**
Capital expenditure	**(4,915)**	**(260)**	**(3,692)**	**(4,876)**	**(5,730)**
Long-term investments	0	(3,523)	(23,677)	(56,760)	0
Others	(1,130)	(1,697)	17,885	(5,499)	(2,603)
Free cash flow	**4,859**	**(779)**	**(3,705)**	**(47,444)**	**16,196**
Equity raising	532	1,876	21,049	51,925	0
Borrowings	(163)	984	(4,366)	0	0
Dividend	(3,976)	(4,516)	(5,349)	(5,599)	(6,777)
Net chg in cash and equivalents	1,252	(2,435)	7,629	(1,118)	9,419

Source: Company data, IIFL Research

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Key to our recommendation structure

BUY - Stock expected to give a return 10%+ more than average return on a debt instrument over a 1-year horizon.
SELL - Stock expected to give a return 10%+ below the average return on a debt instrument over a 1-year horizon.
Add - Stock expected to give a return 0-10% over the average return on a debt instrument over a 1-year horizon.
Reduce - Stock expected to give a return 0-10% below the average return on a debt instrument over a 1-year horizon.

Distribution of Ratings: Out of 295 stocks rated in the IIFL coverage universe, 148 have BUY ratings, 5 have SELL ratings, 102 have ADD ratings, 2 have NR ratings and 37 have REDUCE ratings

Price Target: Unless otherwise stated in the text of this report, target prices in this report are based on either a discounted cash flow valuation or comparison of valuation ratios with companies seen by the analyst as comparable or a combination of the two methods. The result of this fundamental valuation is adjusted to reflect the analyst's views on the likely course of investor sentiment. Whichever valuation method is used there is a significant risk that the target price will not be achieved within the expected timeframe. Risk factors include unforeseen changes in competitive pressures or in the level of demand for the company's products. Such demand variations may result from changes in technology, in the overall level of economic activity or, in some cases, in fashion. Valuations may also be affected by changes in taxation, in exchange rates and, in certain industries, in regulations. Investment in overseas markets and instruments such as ADRs can result in increased risk from factors such as exchange rates, exchange controls, taxation, and political and social conditions. This discussion of valuation methods and risk factors is not comprehensive – further information is available upon request.

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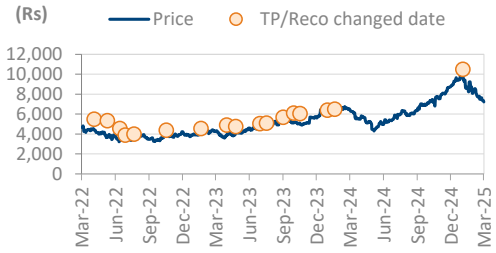
Coforge: 3 year price and rating history



Date	Rating	Close price (Rs)	Target price (Rs)	Upside (%)
06 Jan 2025	BUY	9670	10500	8.6
23 Jan 2024	BUY	6283	6500	3.5
03 Jan 2024	BUY	6274	6400	2.0
20 Oct 2023	BUY	5092	6050	18.8
03 Oct 2023	BUY	5123	6100	19.1
04 Sep 2023	BUY	5452	5700	4.5
21 Jul 2023	BUY	4819	5100	5.8
03 Jul 2023	BUY	4669	5050	8.2
28 Apr 2023	BUY	3945	4750	20.4
03 Apr 2023	BUY	3660	4900	33.9
23 Jan 2023	BUY	3967	4550	14.7
21 Oct 2022	BUY	3858	4400	14.0

Date	Rating	Close price (Rs)	Target price (Rs)	Upside (%)
25 Jul 2022	BUY	3600	4000	11.1
01 Jul 2022	BUY	3539	3900	10.2
16 Jun 2022	BUY	3234	4550	40.7
13 May 2022	BUY	3630	5350	47.4
13 May 2022	BUY	3722	4550	22.2
07 Apr 2022	BUY	4464	5500	23.2
02 Mar 2022	BUY	4502	6000	33.3